

Also, now that you have understood quite a few strategies, you should take out time and experiment with your own strategies. Remember, there are no rules. You can be as creative as you want. Take any and every possible variation, different underlying assets and see what works for you. Create payoff charts for each of them and then judge which are the ones that work and which are the ones that do not. Understand which strategies work in which scenarios. The fundamental still remains same :



Creating good strategies is where most traders spend most of their time. Once you get comfortable with options and different common strategies, experiment as much as you can. Also, remember creating strategies is not a 1-2 day job. It may take months for one strategy of yours to work. It may take few years and losses before you figure out what works for you. So, make sure you never risk your survival. Keep in mind that we are dealing with derivatives which are highly leveraged instruments. Use Risk Management principles very properly. Avoid unlimited loss potential as much as possible.

Now, its your time to be creative and start testing out different strategies that you may think of. And have patience because its going to really test it.